FINANCIAL ANALYSIS COURSE · STUDY NOTES

# Basics of Accounting

## Part 1: Introduction to Accounting

Meaning · Functions · Accounting Cycle · Objectives
Branches · Limitations · Types of Financial Information

**What these notes are.** A detailed, explanatory rewrite of the lecture notes on the *Basics of Accounting* (Parts 1_A, 1_B and 1_C). Every idea in the lecture notes is covered, in a sequential order, with definitions, rules, formulas, worked examples and case studies, followed by a glossary and a revision section. They are written so that a reader with no prior accounting background can follow them from start to finish.

October 2026

# About These Notes

## How the notes are organised

The notes follow one logical thread: **why accounting exists → what accounting is → what it does and how it is organised → what it can and cannot tell us → what information it produces.**

| Section | Topic | Lecture part |
|---|---|---|
| 1 | Why a business needs accounting; business transactions | 1_A |
| 2 | Meaning and definition of accounting | 1_A |
| 3 | Accountancy, bookkeeping and accounting | 1_B & 1_C |
| 4 | Luca Pacioli, the "Father of Accounting" | 1_A |
| 5 | Objectives and purpose of accounting | 1_A, 1_B & 1_C |
| 6 | Users of accounting information | 1_A, 1_B & 1_C |
| 7 | The seven functions of accounting | 1_A |
| 8 | The accounting cycle | 1_A |
| 9 | Worked case study: from transaction to decision | 1_A (big picture) |
| 10 | Financial, cost and management accounting | 1_B & 1_C |
| 11 | Accounting as a science and as an art | 1_B & 1_C |
| 12 | Uses and advantages of accounting | 1_B & 1_C |
| 13 | Limitations of accounting | 1_B & 1_C |
| 14 | Types of accounting information | 1_B & 1_C |
| 15 | The complete conceptual framework | 1_B & 1_C |
| 16 | Glossary of key terms | all |
| 17 | Revision: summaries, common mix-ups, self-test | all |

## Colour-coded boxes used throughout

**Definition: Blue box**

Formal definitions of terms. Learn these word for word.

**Key Idea**

Green box: the one-line takeaway of a topic, usually the question that the topic answers.

**Important**

Amber box: rules, warnings, limitations and common traps.

**Example: Purple box**

Worked examples, with numbers, that illustrate a concept.

**Case Study: Teal box**

Longer case studies that tie several concepts together.

**Conventions**

Amounts are in Indian Rupees (₹) using the Indian digit grouping (for example ₹5,00,000 means five lakh). Where an example uses figures that are not in the original lecture notes, the assumptions are stated explicitly so that nothing is hidden.

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# 1 Why Does a Business Need Accounting?

## 1.1 The need for reliable financial information

The fundamental objective of a business is generally to **earn profit** and create value. But to know whether a business is actually performing well, the owner (and every other stakeholder) needs **reliable financial information**.

At the end of an accounting period, such as a month, a quarter or a year, a business will want answers to questions like the following.

| Question the business asks | What it is asking about |
|---|---|
| How much profit or loss did the business make? | Profit or loss for the period |
| How much inventory (stock) is currently held? | Inventory / stock |
| What are the business's assets? | Assets (what the business owns) |
| How much does the business owe to outsiders? | Liabilities (what the business owes) |
| How much is owed to the business by customers or others? | Amounts receivable |
| How much has been invested by the owners? | Owner's capital / equity |
| What are the revenues and expenses? | Components of profit or loss |
| What is the overall financial position? | Assets, liabilities and equity taken together |

## 1.2 Why memory and loose records are not enough

These questions **cannot be answered accurately** by looking at individual transactions in isolation or by trying to remember what happened during the year. A business may carry out thousands of transactions in a year, and nobody can reliably recall every sale, purchase, payment and receipt.

Therefore the business must maintain a:

**Key Idea**

**Complete and systematic record of every business transaction of a financial nature.**
Accounting is the system through which these transactions are *recorded, organised, summarised, analysed and communicated.*

## 1.3 What is a business transaction?

**Definition: Business transaction**

A **business transaction** is an economic event involving the business that can be **measured in monetary terms** and has a **financial effect** on the business.

**Typical examples**

- Purchase of goods
- Sale of goods
- Payment of salaries
- Payment of rent

- Purchase of machinery
- Receipt of cash from customers
- Borrowing money from a bank
- Repayment of a loan
- Payment to suppliers

**The three tests.** An event is recorded as an accounting transaction when it passes all three of these tests:

1. It **relates to the business**.
2. It has **financial consequences** for the business.
3. It can be **measured in money**.

**Not every event is an accounting transaction**

Not every event involving a business is recorded. Suppose *the manager decides to hire an employee next month.* This decision by itself does not create a measurable financial transaction. It becomes a transaction only when the business actually **pays the employee's salary**, because at that point there is a financial effect that can be measured in money.
Accounting therefore primarily records **financially measurable economic events**.

# 2 Meaning of Accounting

## 2.1 The definition

**Definition: Accounting**

Accounting is the process of **identifying, recording, classifying, summarising, interpreting and communicating** financial information of a business to its users for **judgement and decision-making**.

This definition shows that accounting is **much more than simply recording transactions**. It is a sequence of activities:

Identify → Record → Classify → Summarise → Analyse → Interpret → Communicate

**Six verbs or seven?**

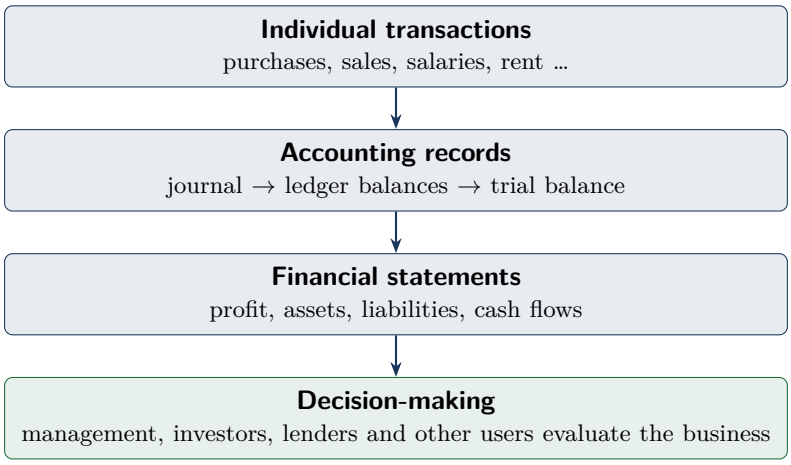
The definition above names six activities. In the lecture's list of functions, *analysing* is shown as a separate seventh activity, sitting between summarising and interpreting. Many textbook versions of the definition include it. In either case, remember the **seven functions**, which are developed in Section 7.

## 2.2 Reading the definition word by word

| Word in the definition | What it means |
|---|---|
| **Process** | Accounting is a continuing series of steps, not a single act. |
| **Identifying** | Deciding which events are business transactions with a measurable financial effect. |
| **Recording** | Entering identified transactions systematically, in chronological order. |
| **Classifying** | Grouping similar transactions together under suitable accounts. |
| **Summarising** | Condensing the classified data into compact financial statements. |
| **Interpreting** | Giving meaning to the numbers and relationships found. |
| **Communicating** | Delivering the information to those who need it. |
| **Financial information** | Information measured in money terms. |
| **Users** | Management, owners, investors, lenders, creditors, government, and others. |
| **Judgement and decision-making** | The final purpose: users act on the information. |

## 2.3 Accounting as an information system

Accounting can be viewed as a system that converts **raw financial transactions into useful information**.




**Example: From raw transactions to a result**

Suppose a business has these four individual transactions in a period:

- Purchase of inventory: ₹50,000
- Sale of goods: ₹80,000
- Salary paid: ₹10,000
- Rent paid: ₹5,000

Individually these are just four events. After they are recorded, classified and summarised, the business can see, for example, total sales, total purchases and total expenses, and it can compute its result. *Assuming all the inventory purchased was sold in the period*:

$$\text{Profit} = 80{,}000 - 50{,}000 - 10{,}000 - 5{,}000 = ₹\,15{,}000.$$

Management, lenders or investors can then evaluate the business using such information.

# 3 Accountancy, Bookkeeping and Accounting

Three similar-sounding words are used in this subject. They are related but different.

## 3.1 Accountancy

**Definition: Accountancy**

**Accountancy** is the systematic **body of knowledge** concerning accounting, including the **principles, concepts, rules, conventions, techniques and practices** that are applied in accounting.

In simple terms: *accounting is the practical process of recording and processing financial information, whereas accountancy is the broader body of knowledge underlying that process.* Accountancy covers the theoretical and practical framework within which accounting is carried out.

$$\boxed{\text{Accountancy} = \text{Theory} + \text{Principles} + \text{Concepts} + \text{Practices of Accounting}}$$

## 3.2 Bookkeeping

**Definition: Bookkeeping**

**Bookkeeping** is the process of recording business transactions having monetary aspects in the books of accounts.

Bookkeeping deals primarily with:

$$\boxed{\text{Bookkeeping} \rightarrow \text{Identify} + \text{Measure} + \text{Record} + \text{Classify}}$$

**Nature of bookkeeping.** It is largely routine, clerical, procedural and record-oriented, and it generally requires less analytical judgement than the later stages of accounting.

## 3.3 Accounting (in the narrower, post-bookkeeping sense)

Accounting is broader than bookkeeping. It begins with the information generated by bookkeeping and then involves:

$$\boxed{\text{Accounting} \rightarrow \text{Summarise} + \text{Analyse} + \text{Interpret} + \text{Communicate}}$$

**Key Idea**

**Bookkeeping is a part of accounting.** Bookkeeping provides the basic accounting records; accounting turns those records into meaningful financial information.

$$\boxed{\text{Bookkeeping} \subset \text{Accounting}}$$

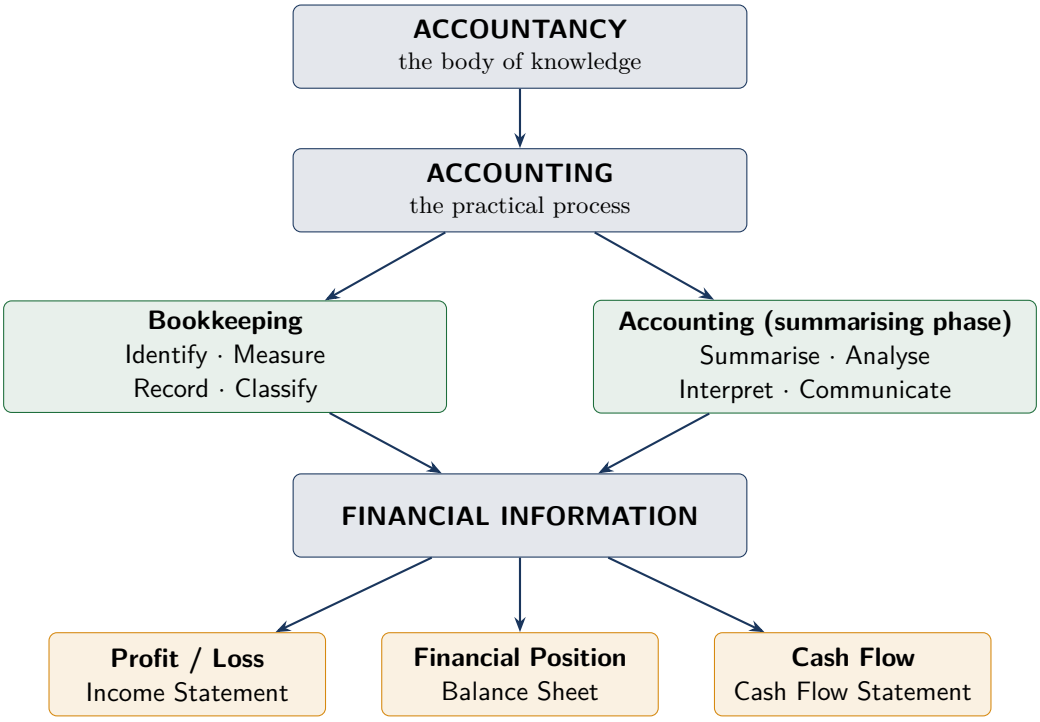
### 3.4 Bookkeeping versus accounting

| Basis | Bookkeeping | Accounting |
|---|---|---|
| **Objective** | To maintain systematic records of transactions of a financial nature | To ascertain the net results and financial position of the business |
| **Phase** | The recording phase of the accounting system | The summarising phase, and subsequent analysis and interpretation |
| **Stage** | Primary (initial) stage | Secondary stage, beginning after bookkeeping |
| **Nature of skills** | Routine and clerical | Analytical; needs accounting knowledge and judgement |
| **Who performs it** | Bookkeepers / bookkeeping staff | Accountants / accounting staff |

### 3.5 The overall flow




### 3.6 Accountancy vs. accounting vs. bookkeeping on one page




## 4 Luca Pacioli: The Father of Accounting

**Luca Pacioli** is commonly known as the **Father of Accounting**, particularly because of his important role in **documenting and disseminating the principles of double-entry bookkeeping**.

| Fact | Detail |
|---|---|
| Who | Luca Pacioli, an Italian mathematician and Franciscan friar |
| Year | **1494** |
| Work | *Summa de Arithmetica*, which included a description of the Venetian method of bookkeeping based on double-entry principles |
| Why important | His work helped formalise and spread systematic bookkeeping practices that became foundational to modern accounting |

**Important distinction**

Pacioli did **not invent every underlying bookkeeping practice from nothing**. He is especially remembered for **documenting and popularising** the double-entry bookkeeping system. In an examination, the safe statement is: *"Luca Pacioli, Father of Accounting, documented and popularised double-entry bookkeeping in 1494."*

# 5 Objectives and Purpose of Accounting

The broad purpose of accounting is to provide **reliable financial information for decision-making**. This purpose is delivered through four major objectives.

**Key Idea**

1. Maintain a systematic record of business transactions
2. Determine profit or loss
3. Determine financial position
4. Provide information to interested parties

## 5.1 Objective 1: Maintain a systematic record of transactions

The first objective is to maintain a **complete and systematic record of business transactions** according to established accounting rules and procedures.

**Process.** Transactions are first recorded in the **journal** or in **subsidiary books**, and are then **posted to the ledger**:

$$\text{Transaction} \rightarrow \text{Journal / Subsidiary Books} \rightarrow \text{Ledger}$$

**What are subsidiary books?**

Subsidiary books are separate books of original entry kept for frequently occurring types of transaction (for example, a cash book, a sales book or a purchases book), so that the main journal is not overloaded.

**Why a complete record matters.** A complete record helps to reduce:

- omission of transactions,
- loss of information,

- fraud or unauthorised manipulation,
- dependence on human memory.

Imagine a business carrying out thousands of transactions every year. Relying on memory would make an accurate determination of profit, assets, liabilities, receivables and expenses impossible. Accounting creates a **permanent and organised record**.

## 5.2 Objective 2: Calculate profit or loss

The second objective is to ascertain the **net profit earned or net loss suffered during a particular accounting period**, by considering the business's revenues and expenses.

$$\boxed{\text{Profit} = \text{Revenue} - \text{Expenses}} \quad \text{(when revenue exceeds expenses)}$$

$$\boxed{\text{Loss} = \text{Expenses} - \text{Revenue}} \quad \text{(when expenses exceed revenue)}$$

The **Income Statement / Profit and Loss Account** is prepared to determine the result.

**Profit and loss relate to a period of time**

The result always relates to a **period**, such as one month, one quarter or one financial year (for example, "profit for the year ended 31 March 2026").

## 5.3 Objective 3: Ascertain the financial position

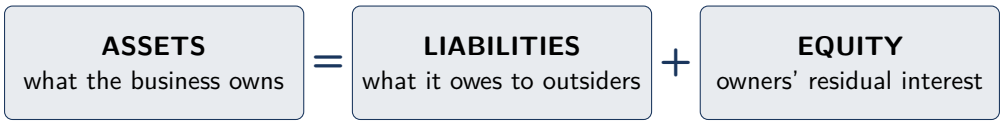
Profit alone does not tell the complete story. A business may have earned a profit and still have substantial liabilities or insufficient resources. Accounting therefore also aims to determine the **financial position** of the business, presented in the **Balance Sheet / Statement of Financial Position**.

The balance sheet reports three things:

| Element | Meaning |
|---|---|
| **Assets** | Resources controlled by the business (what it *owns*) |
| **Liabilities** | Obligations owed by the business to outsiders (what it *owes*) |
| **Capital / Equity** | The owners' residual interest in the business |

### 5.3.1 The accounting equation

$$\boxed{\text{Assets} = \text{Liabilities} + \text{Equity}}$$




Rearranging gives the *residual* view of equity: Equity = Assets − Liabilities. The equation is the foundation of everything that follows, because every transaction must leave it in balance.

**Example: How transactions keep the equation in balance**

| Transaction | Assets (₹) | Liabilities (₹) | Equity (₹) |
|---|---|---|---|
| 1. Owner invests ₹1,00,000 in cash | 1,00,000 | 0 | 1,00,000 |
| 2. Goods bought for ₹30,000 cash (cash ↓, inventory ↑) | 1,00,000 | 0 | 1,00,000 |
| 3. Bank loan of ₹50,000 received in cash | 1,50,000 | 50,000 | 1,00,000 |

(Figures are running totals after each transaction.) After each step, Assets = Liabilities + Equity. In step 2 only the *composition* of assets changes (cash becomes inventory); in step 3 an asset and a liability rise together.

### 5.3.2 Income statement versus balance sheet

| | Income Statement | Balance Sheet |
|---|---|---|
| **Question answered** | What happened during the period? | What is the financial position at a particular date? |
| **Time perspective** | A period of time | A point in time |
| **Description** | Performance report | A "screen picture" (snapshot) of the financial position |

## 5.4 Objective 4: Provide information to various parties

Accounting aims to provide financial information to **interested parties**: owners, management, creditors, banks and lenders, government authorities, investors and other stakeholders. This information lets users take appropriate economic decisions, so accounting is ultimately an **information and decision-support function**.

## 5.5 Other practical purposes (Part 1_A view)

Besides the four headline objectives, the lecture lists specific things accounting helps a business to determine.

### 5.5.1 Track inventory (stock)

Accounting helps determine how much inventory the business holds, how much has been purchased, how much has been sold and, depending on the accounting system, the value of closing inventory. This is particularly important for businesses dealing in physical goods.

### 5.5.2 Track amounts owed by and to the business

- **Amounts receivable:** money that customers or other parties owe the business.
- **Amounts payable:** money the business owes suppliers, lenders, employees, governments or other parties.

### 5.5.3 Support decision-making

Accounting is not merely a historical record-keeping exercise. It is also a **decision-support system**. Different users take different decisions, as the next section shows.

# 6 Users of Accounting Information

The final accounting function is communication to interested parties. They fall into two groups.

| Group | Users | How they use the information |
|---|---|---|
| **Internal users** | Management | Plan and control operations |
| | Owners | Evaluate profitability |
| | Other internal decision-makers | Make operating and financing decisions |
| **External users** | Investors / shareholders | Assess performance and prospects |
| | Banks and lenders | Assess repayment ability |
| | Creditors | Judge whether dues will be paid |
| | Government / regulatory authorities | Compliance, taxation and regulation |
| | Other interested stakeholders | Understand the financial condition of the business |

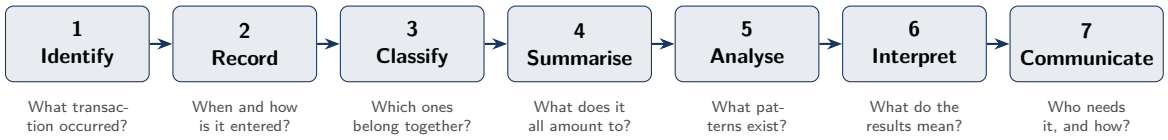
The information reaches users primarily through **financial reports and statements**, together with other relevant reports.

**A note on the table**

The lecture names the user groups and gives the uses for managers, investors, lenders and owners. The remaining "how they use it" entries (creditors, government, other internal decision-makers) are the natural extensions of the same idea.

# 7 The Seven Functions of Accounting

The lecture identifies **seven major functions** (processes) of accounting. They are the stages through which raw business transactions are converted into useful financial information.




**Memory aid.** Identify → Record → Group → Summarise → Analyse → Explain → Communicate, or the initials **I**–**R**–**C**–**S**–**A**–**I**–**C**.

The important idea is that accounting starts with **raw financial events** and ends with **useful information for decision-making**.

## 7.1 Function 1: Identifying

**Meaning.** The first function is to **identify business transactions of a financial character**. The accountant decides which events (1) relate to the business, and (2) have a financial effect that can be measured in money.

**Source documents.** Transactions are identified using documents such as:

- Invoices

- Agreements / contracts
- Cash memos
- Receipts
- Bills
- Bank documents
- Purchase orders and other supporting records

**Example: Identifying a machinery purchase**

A business purchases machinery for ₹2,00,000. The invoice or other documentation is the evidence. The accountant identifies that (i) the business acquired an **asset**, (ii) the transaction has a monetary value of ₹2,00,000, and (iii) it therefore needs to be recorded.

**Key Idea**

**Identification answers: "What financial transaction has occurred?"**

## 7.2 Function 2: Recording

Once identified, a transaction must be **systematically recorded**, generally in **chronological order** (the sequence in which transactions occur). The primary record is the **journal**, together with subsidiary books where applicable.

**Example: Chronological recording**

- 1 January: owner invests ₹1,00,000.
- 3 January: goods purchased for ₹30,000.
- 5 January: goods sold for ₹20,000.

They are recorded in exactly this order. Assuming all three are cash transactions, the journal entries would be:

| Date | Account | Debit (₹) | Credit (₹) |
|---|---|---|---|
| 1 Jan | Cash A/c (Dr) | 1,00,000 | |
| | Capital A/c (Cr) | | 1,00,000 |
| 3 Jan | Purchases A/c (Dr) | 30,000 | |
| | Cash A/c (Cr) | | 30,000 |
| 5 Jan | Cash A/c (Dr) | 20,000 | |
| | Sales A/c (Cr) | | 20,000 |

### 7.2.1 The double-entry principle

Under **double-entry bookkeeping**, every transaction is recorded through corresponding **debits and credits**. For every journal entry:

$$\boxed{\text{Total Debits} = \text{Total Credits}}$$

This equality is essential for maintaining the accounting equation, and it provides an **internal**

**check** on the recording process.

**Key Idea**

**Recording answers: "When and how should the transaction be entered into the accounting records?"**

## 7.3 Function 3: Classifying

Recording transactions chronologically is not enough. Similar transactions must be **grouped together**. This is **classification**, and it takes place through **ledger accounts**.

**Example: Why classification is needed**

During the year a business makes 50 cash sales, 20 credit sales, 15 purchases and 12 salary payments. Instead of re-reading all 97 transactions each time, related transactions are accumulated in accounts such as:

- Sales Account
- Purchases Account
- Cash Account
- Salary Account
- Debtors / Receivables Account
- Creditors / Payables Account

To find the total salary expense, we simply look at the **Salary Account** instead of searching through hundreds of transactions.

After the ledger accounts are prepared, a **trial balance** can be drawn up to check the arithmetical equality of debit and credit balances (Section 8).

**Key Idea**

**Classification answers: "Which transactions belong together?"**

## 7.4 Function 4: Summarising

Accounting records can contain hundreds, thousands or millions of transactions. Decision-makers do not want to inspect each one. The classified information from the ledger and trial balance is therefore **summarised** into financial statements:

- **Income Statement / Profit and Loss Account**
- **Balance Sheet / Statement of Financial Position**
- **Cash Flow Statement**

**Example: Summarising in practice**

Instead of listing every salary payment separately, the statements show a single line: **Salary expense = ₹6,50,000**. Instead of listing every asset purchase, the balance sheet shows the relevant asset balances.

**Key Idea**

**Summarising answers: "What does all the recorded information amount to?"**

## 7.5 Function 5: Analysing

Once summarised, the information must be **analysed**. Analysis examines relationships among financial statement items to understand the business's performance and position. It helps identify the **financial strengths** and **financial weaknesses** of the business.

The main techniques (developed later in financial analysis) are **ratio analysis**, **trend analysis** and **comparative analysis**.

**Example: Why one number is not enough**

Suppose a company's sales are increasing, its profit margin is falling, its debt is increasing and its cash flow is deteriorating. Looking at any single figure (for instance, rising sales) would give a misleading, rosy picture. Analysis establishes the **relationships between items** and shows what the numbers imply together.

**Key Idea**

**Analysis answers: "What relationships and patterns exist in the financial information?"**

## 7.6 Function 6: Interpreting

Analysis produces relationships and patterns. **Interpretation** gives them **meaning**.

**Example: Debt-to-equity ratio**

Analysis shows that the *Debt-to-Equity Ratio* has increased significantly. The *interpretation* is that the company is becoming more dependent on debt financing, potentially increasing its financial risk.

| Stage | Role |
|---|---|
| **Analysis** | Identifies the numerical relationship |
| **Interpretation** | Explains what that relationship means |

**Key Idea**

**Interpretation answers: "What do the results of the analysis actually mean?"**

## 7.7 Function 7: Communicating

The final function is to **communicate** the summarised, analysed and interpreted information to the relevant users (see Section 6 for the full list of internal and external users). Communication takes place primarily through financial reports and statements, along with other relevant reports.

**Key Idea**

**Communication answers: "Who needs this information, and how should it be provided to them?"**

### 7.8 Summary of the seven functions

| # | Function | Core activity | Key question |
|---|---|---|---|
| 1 | Identifying | Pick out financial transactions using source documents | What transaction occurred? |
| 2 | Recording | Enter in the journal, chronologically, by debit and credit | When and how is it entered? |
| 3 | Classifying | Group in ledger accounts | Which belong together? |
| 4 | Summarising | Prepare trial balance and financial statements | What does it amount to? |
| 5 | Analysing | Study relationships among statement items | What patterns exist? |
| 6 | Interpreting | Give meaning to the analysis | What does it mean? |
| 7 | Communicating | Report to internal and external users | Who needs it, and how? |

## 8 The Accounting Cycle

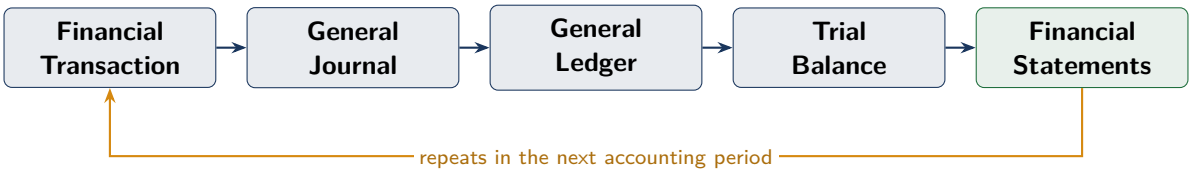
### 8.1 Meaning

**Definition: Accounting cycle**

The **accounting cycle** is the systematic process followed to record and process a company's financial transactions, beginning when a transaction occurs and ultimately resulting in the preparation of financial statements and the closing of the accounts.

It is called a **cycle** because the process is **repeated for each accounting period**. The simplified version in the lecture is:

Financial Transaction → General Journal → General Ledger → Trial Balance → Financial Statements




### 8.2 Stage 1: Financial transactions

The cycle begins when a **financial transaction** occurs: a purchase, a sale, payment of expenses, receipt of cash, purchase of an asset, borrowing money, repayment of debt. The transaction must first be **identified and measured in monetary terms**.

**Example: Equipment purchase**

A business purchases equipment for ₹1,00,000. This is a financial transaction because it (i) relates to the business, (ii) has financial consequences, and (iii) can be measured in money.

## 8.3 Stage 2: General journal

The identified transaction is recorded in the **journal**, in **chronological order**. A journal entry normally specifies:

- the accounts affected,
- the debit(s) and the credit(s),
- the amount,
- an explanation (*narration*) where required.

**Example: Journal entry for the equipment purchase (cash)**

| Account | Debit | Credit |
|---|---|---|
| Equipment A/c | ₹1,00,000 | — |
| Cash A/c | — | ₹1,00,000 |

The fundamental requirement is $\boxed{\text{Debit} = \text{Credit}}$.

## 8.4 Stage 3: Posting to the general ledger

Journal entries are then **posted to the General Ledger (GL)**. A ledger contains **individual accounts** in which all transactions relating to the same account are accumulated. All transactions affecting Cash are brought together in the Cash Account; all transactions affecting Equipment are brought together in the Equipment Account.

The ledger thus transforms the *chronological* information of the journal into an *account-wise* classification.

**Example: The equipment purchase after posting**

| Equipment A/c | | Cash A/c | |
|---|---|---|---|
| **Debit** | **Credit** | **Debit** | **Credit** |
| To Cash ₹1,00,000 | | | By Equipment ₹1,00,000 |

(The Cash A/c would also carry its other entries, such as the owner's capital introduced; only the entry for this transaction is shown.)

### 8.4.1 Journal versus ledger

| Journal | Ledger |
|---|---|
| Records transactions **chronologically** | Groups transactions **account-wise** |
| The first formal recording | Classification of recorded transactions |
| Answers "when did it occur?" | Helps determine "what is the balance or effect of this account?" |

## 8.5 Stage 4: Trial balance

At the end of an accounting period, the **balances of the ledger accounts** are listed in a **trial balance**. Its basic purpose is to check the **arithmetical accuracy** of the records. Ideally:

$$\boxed{\text{Total Debit Balances} = \text{Total Credit Balances}}$$

**Limitation: an agreeing trial balance is a check, not proof**

A trial balance that agrees does **not** necessarily mean every accounting error is absent. Certain errors leave debits equal to credits. Illustrations:

- a transaction that was **completely omitted** (no debit and no credit was posted);
- a correct amount posted to the **wrong account** (for example, to the wrong expense account);
- two **offsetting errors** that cancel each other.

The trial balance is an important check, but not proof that the accounting records are completely error-free.

## 8.6 Stage 5: Financial statements

After the necessary **adjustments** and finalisation of account balances, the financial statements are prepared.

### 8.6.1 Income Statement / Profit and Loss Account

Shows financial performance over a **period**. It determines whether the business made a **profit** or a **loss**.

### 8.6.2 Balance Sheet / Statement of Financial Position

Shows the financial position at a **particular point in time**: Assets = Liabilities + Equity.

### 8.6.3 Cash Flow Statement

Shows how cash and cash equivalents changed during a period through different types of cash flows, broadly classified into:

| Category | Nature |
|---|---|
| **Operating activities** | Cash flows from the business's day-to-day operations |
| **Investing activities** | Cash flows from buying or selling long-term assets and similar investments |
| **Financing activities** | Cash flows from raising or repaying capital and borrowings |

This statement matters because **profit and cash are not the same thing**.

### 8.7 Closing and the next period

After the statements are prepared, the accounts are closed for the period and the cycle starts again with the transactions of the next accounting period.

### 8.8 Accounting cycle versus functions of accounting

The two ideas are closely related but should not be confused.

| | Functions of accounting | Accounting cycle |
|---|---|---|
| **Focus** | *What accounting does* | The *sequence of procedures* through which records are processed |
| **Sequence** | Identify → Record → Classify → Summarise → Analyse → Interpret → Communicate | Transaction → Journal → Ledger → Trial Balance → Financial Statements → Closing / next period |

The cycle is the **operational flow**. The functions describe the **purpose** of each part of it.

| Function | Where it appears in the cycle |
|---|---|
| Identify | Stage 1: the financial transaction is identified and measured |
| Record | Stage 2: general journal |
| Classify | Stage 3: posting to the general ledger |
| Summarise | Stages 4 and 5: trial balance and financial statements |
| Analyse, Interpret, Communicate | Use of the financial statements, after the cycle's outputs are ready |

## 9 Worked Case Study: From Transaction to Decision

The lecture's "big picture" example takes a business that (i) invests ₹5,00,000 capital, (ii) purchases inventory for ₹2,00,000, (iii) sells goods for ₹3,00,000, (iv) pays salary of ₹40,000 and (v) pays rent of ₹20,000. Initially these are just individual transactions. Below, the full chain of seven functions is carried out on them.

**Assumptions added for the walk-through**

The lecture gives only the five amounts. To complete the numbers we assume that (a) all five transactions are settled in **cash**, and (b) **all inventory purchased is sold** in the period (so closing inventory is nil). A second scenario at the end relaxes (a).

### 9.1 Step 1: Identify

All five events relate to the business, have financial effects and are measurable in money, so all five are accounting transactions.

## 9.2 Step 2: Record (journal)

| No. | Account | Debit (₹) | Credit (₹) |
|---|---|---|---|
| 1 | Cash A/c (Dr) | 5,00,000 | |
| | Capital A/c (Cr) | | 5,00,000 |
| 2 | Purchases A/c (Dr) | 2,00,000 | |
| | Cash A/c (Cr) | | 2,00,000 |
| 3 | Cash A/c (Dr) | 3,00,000 | |
| | Sales A/c (Cr) | | 3,00,000 |
| 4 | Salary A/c (Dr) | 40,000 | |
| | Cash A/c (Cr) | | 40,000 |
| 5 | Rent A/c (Dr) | 20,000 | |
| | Cash A/c (Cr) | | 20,000 |

## 9.3 Step 3: Classify (ledger)

Each account collects its own entries. The Cash Account, for instance, becomes:

**Cash A/c**

| Debit | ₹ | Credit | ₹ |
|---|---|---|---|
| Capital | 5,00,000 | Purchases | 2,00,000 |
| Sales | 3,00,000 | Salary | 40,000 |
| | | Rent | 20,000 |
| | | **Balance c/d** | **5,40,000** |
| **Total** | **8,00,000** | **Total** | **8,00,000** |

The balance of ₹5,40,000 is a **debit balance** (the business has that much cash).

## 9.4 Step 4: Summarise

**Trial balance**

| Account | Debit (₹) | Credit (₹) |
|---|---|---|
| Cash | 5,40,000 | |
| Purchases | 2,00,000 | |
| Salary | 40,000 | |
| Rent | 20,000 | |
| Capital | | 5,00,000 |
| Sales | | 3,00,000 |
| **Total** | **8,00,000** | **8,00,000** |

Debits equal credits, so the records are arithmetically consistent.

**Income statement (for the period)**

| Particulars | ₹ | ₹ |
|---|---|---|
| Sales | | 3,00,000 |
| Less: Purchases (all sold, no closing inventory) | | 2,00,000 |
| **Gross profit** | | **1,00,000** |
| Less: Salary | 40,000 | |
| Less: Rent | 20,000 | 60,000 |
| **Net profit** | | **40,000** |

**Balance sheet (at the end of the period)**

| Assets | ₹ | Liabilities and Equity | ₹ |
|---|---|---|---|
| Cash | 5,40,000 | Liabilities | 0 |
| | | Capital introduced | 5,00,000 |
| | | Add: net profit | 40,000 |
| | | **Total equity** | **5,40,000** |
| **Total assets** | **5,40,000** | **Total liabilities + equity** | **5,40,000** |

The accounting equation holds: $5{,}40{,}000 = 0 + 5{,}40{,}000$.

**Cash flow statement (for the period)**

| Particulars | ₹ |
|---|---|
| Cash received from customers | 3,00,000 |
| Cash paid for inventory | (2,00,000) |
| Salary and rent paid | (60,000) |
| **Net cash from operating activities** | **40,000** |
| Net cash from investing activities | — |
| Capital introduced by owner (financing activities) | 5,00,000 |
| **Net increase in cash (opening cash nil)** | **5,40,000** |

## 9.5 Step 5: Analyse

| Measure | Calculation | Result |
|---|---|---|
| Gross profit margin | 1,00,000 ÷ 3,00,000 | 33.3% |
| Net profit margin | 40,000 ÷ 3,00,000 | 13.3% |
| Return on owner's capital | 40,000 ÷ 5,00,000 | 8% |

## 9.6 Step 6: Interpret

Out of every ₹100 of sales the business keeps about ₹13 as profit, and earned an 8% return on the owner's money. The business has **no outside liabilities**, so its financial risk from borrowing is nil. Whether 8% is satisfactory depends on comparison with earlier periods, similar businesses and other uses of the owner's capital, which is exactly why comparative study (Section 12) matters.

### 9.7 Step 7: Communicate

The statements are presented to the owner, who decides whether to continue, expand or withdraw funds, and to any bank or other party considering lending to the business.

**Case Study: Profit is not the same as cash**

Now change one assumption: of the ₹3,00,000 of sales, ₹1,00,000 is made **on credit** and not yet collected. Journal entry 3 becomes: Cash ₹2,00,000 (Dr), Debtors ₹1,00,000 (Dr), Sales ₹3,00,000 (Cr).

| Item | All cash (₹) | With credit sale (₹) |
|---|---|---|
| Net profit | 40,000 | 40,000 |
| Cash at end | 5,40,000 | 4,40,000 |
| Receivables (debtors) | 0 | 1,00,000 |
| Total assets | 5,40,000 | 5,40,000 |
| Net cash from operating activities | 40,000 | (60,000) |

**Profit is unchanged at ₹40,000 but operating cash flow is negative.** Revenue is recognised on the sale, whereas cash arrives later. A business can report an accounting profit and still face cash problems, so Profit $\neq$ Cash. This is why the Income Statement *and* the Cash Flow Statement are both needed.

**Key Idea**

The ultimate purpose of accounting is not merely "to maintain books". It is **to convert financial transactions into meaningful information that supports judgement and decision-making**.

## 10 Sub-disciplines: Financial, Cost and Management Accounting

Accounting has three major branches.

### 10.1 Financial accounting

Financial accounting is concerned with systematically **recording financial transactions**, **preparing financial reports**, determining **profit or loss**, determining **financial position** and reporting **sources and uses of cash**. Its purpose is to present information about an organisation's **financial performance and financial position**.

**Main outputs:** Income Statement, Balance Sheet and Cash Flow Statement.

| It tells us about | Shown by |
|---|---|
| Performance | Profit / Loss |
| Position | Assets, Liabilities, Equity |
| Cash | Cash inflows and outflows |

**Key Idea**

**Financial accounting is primarily concerned with reporting financial information about the business.**

## 10.2 Cost accounting

Cost accounting focuses on the **analysis and determination of the cost** of products manufactured or services provided. It helps determine the cost of production, the cost of individual products or services, cost behaviour, opportunities for cost control and the efficiency of operations.

**Example: Costs of a manufactured product**

A company's costs of making a product may include raw materials, direct labour, factory overhead, power, transportation and other production expenses. Cost accounting determines the cost associated with producing the product.

Cost accounting also helps in **controlling costs** and in providing **costing information to management for decision-making**.

## 10.3 Management accounting

Management accounting uses relevant financial and cost information to support **internal management decisions**. It draws its information mainly from **financial accounting** and **cost accounting**. It helps with:

| Decision area | What it involves |
|---|---|
| **Budgeting** | Planning future revenues, expenses, cash requirements, etc. |
| **Profitability assessment** | Finding which products, activities, customers or divisions are more profitable |
| **Pricing decisions** | Determining or evaluating prices from costs, demand and profitability |
| **Capital expenditure decisions** | Evaluating major long-term investments, such as machinery or expansion |

**Key Idea**

**Management accounting converts accounting information into information useful for managerial planning, control and decision-making.**

### 10.4 Comparison of the three branches

| Feature | Financial | Cost | Management |
|---|---|---|---|
| **Main focus** | Overall financial performance and position | Cost determination and control | Management decision-making |
| **Main users** | Primarily external users, though also useful internally | Management | Internal management |
| **Information** | Financial transactions and statements | Product / service / process costs | Financial + cost + other relevant information |
| **Major purpose** | Reporting | Cost analysis and control | Planning, control and decisions |
| **Typical applications** | Profit, assets, liabilities, cash flows | Product costing, cost control | Budgeting, pricing, profitability, investment decisions |

$$\text{Financial Accounting} + \text{Cost Accounting} \rightarrow \text{Management Accounting} \rightarrow \text{Management Decisions}$$

Management accounting is not independent of the other two. It makes extensive use of the information they produce.

## 11 Accounting as Both a Science and an Art

A common theoretical question is: *is accounting a science or an art?* The lecture's answer is that it is **both**.

| | Science | Art |
|---|---|---|
| **Idea** | A systematic body of knowledge developed through observation, study, practice, investigation, rules and principles | The application of knowledge, methods and techniques to practical situations |
| **Why accounting fits** | Based on principles, concepts, rules, conventions, standards and systematic procedures for identifying, measuring, recording, classifying and reporting | Principles must be applied correctly to actual situations: recording transactions, preparing accounts, making estimates, presenting information, producing meaningful statements |
| **One-line answer** | Knowledge and principles | Practical application of that knowledge |

$$\text{Accounting} = \text{Science} + \text{Art}$$

**Key Idea**

Accounting is a **science** because it contains a systematic and organised body of knowledge governed by established principles and standards. It is an **art** because it involves the practical

application of those principles, methods and techniques.

# 12 Uses and Advantages of Accounting

## 12.1 Protecting business assets

A systematic accounting system keeps records of cash, inventory, machinery, receivables and other assets. Proper records make it easier to **monitor assets and detect irregularities**, so accounting helps in the **control and protection of business assets**.

## 12.2 Facilitating settlement of tax liabilities

Systematic records provide evidence of transactions and financial results. They help in **calculating tax liabilities**, preparing tax-related information and supporting the correctness of reported transactions, and so facilitate compliance with tax obligations.

## 12.3 Replacing memory

A business may conduct a huge number of transactions, and it is impossible to remember every sale, purchase, payment, receipt and expense. Accounting provides a permanent systematic record.

Accounting records replace reliance on human memory

## 12.4 Facilitating comparative study

Accounting records make it possible to **compare performance across periods**, for example profit in 2025 versus profit in 2026, sales growth, expense growth or changes in profit margin. Comparisons help management spot significant changes and investigate their causes.

## 12.5 Facilitating loans

Banks and financial institutions often need financial information before granting a loan. Accounting records provide evidence of business performance, profitability, assets, liabilities, repayment capacity and financial stability, and therefore support the business's ability to obtain financing.

## 12.6 Facilitating sale of the business

When an owner wishes to sell the business, a potential buyer needs information about its assets, liabilities, profitability, performance and overall financial position. Proper records are the basis for evaluating the business and for determining an appropriate **purchase price**.

| Use | In one line |
|---|---|
| Protects assets | Records of cash, inventory, machinery and receivables allow control and detection of irregularities |
| Tax settlement | Provides evidence for computing tax liabilities |
| Replaces memory | A permanent, systematic record |
| Comparative study | Compares periods, growth and margins |
| Loans | Gives lenders evidence of repayment capacity |
| Sale of business | Helps a buyer evaluate and price the business |

# 13 Limitations of Accounting

Accounting is extremely useful, but it is **not a perfect representation** of everything happening in a business.

## 13.1 It ignores qualitative elements

Accounting is concerned primarily with matters that can be **measured in monetary terms**. Important qualitative factors may therefore not be reflected in the records, for example the quality of employees, employee morale, industrial relations, quality of management, public relations, brand reputation and customer loyalty.

**Example: Same statements, different businesses**

Two companies may have identical financial statements, yet one may have a much stronger brand and more loyal customers. Traditional financial accounting may not capture this difference adequately.

## 13.2 It may lead to window dressing

**Definition: Window dressing**

**Window dressing** is the presentation or manipulation of financial accounts so as to make the business appear financially stronger or better than its actual condition.

The purpose may be to conceal unfavourable facts, to improve the apparent financial position or to present a more attractive picture to users. For example, management might use accounting choices or the timing of transactions to make year-end numbers look more favourable, subject to what accounting standards and law permit or prohibit.

**Important distinction**

Window dressing is **not** an inherent purpose of accounting. It is a **potential misuse or manipulation** of accounting information.

## 13.3 It is often based on historical cost

Traditional accounting frequently records assets at their **historical cost**, the amount originally paid to acquire them, subject to the applicable accounting framework and later adjustments. Over

time this may become less representative because of inflation, changes in market prices, changes in purchasing power and changes in economic conditions.

**Example: Land bought decades ago**

Land purchased decades ago for ₹10 lakh is now worth ₹2 crore. A historical-cost figure of ₹10 lakh does not fully reflect its current economic value. When current values differ substantially from historical amounts, the relevance of the information is reduced.

### 13.4 It is not fully exact

Many accounting figures rest on **estimates and assumptions** rather than direct observation with complete certainty. Examples:

- useful life of an asset,
- depreciation,
- provision for doubtful (bad) debts,
- expected losses,
- certain inventory values or recoverability,
- other provisions and valuation adjustments.

**Example: Depreciation**

When a machine is purchased, its actual useful life cannot always be known precisely, so an estimate must be made of how long it will be useful, and the depreciation charge depends on that estimate.

**This does not mean accounting is arbitrary**

Accounting estimates are generally made using established principles, standards, available evidence, assumptions and professional judgement.

### 13.5 Summary of limitations

| Limitation | Meaning |
|---|---|
| **Qualitative factors ignored** | Employee quality, reputation and morale may not be adequately captured |
| **Window dressing** | Accounts may be presented or manipulated to show a better picture |
| **Historical cost** | Historical amounts may become less representative of current values |
| **Not fully exact** | Some figures depend on estimates and judgement |

**Key Idea**

Financial statements should be **interpreted carefully**. They are highly useful, but they do not provide a complete picture of every economic aspect of a business.

## 14 Types of Accounting Information

Accounting information falls into three broad categories:

Profit / Surplus | Financial Position | Cash Flow

## 14.1 Information relating to profit or surplus

The **Income Statement / Profit and Loss Account** reports the profit earned or loss incurred during an accounting period. It reflects the results of business operations and other relevant items under the applicable accounting framework.

- **Key question:** Did the business make a profit or a loss during the period?
- **Time perspective:** a **period-based** statement (e.g. "Profit for the year ended 31 March 2026").

## 14.2 Information relating to financial position

The **Balance Sheet / Statement of Financial Position** reports assets, liabilities and equity (capital) of the entity at a particular date.

- **Key question:** What does the business own and what does it owe at a particular date?
- **Time perspective:** a **point-in-time** statement (e.g. "Financial position as at 31 March 2026").

**Special point: not-for-profit organisations**

For a not-for-profit organisation, the difference between assets and liabilities is generally called the **General Fund**, rather than owner's capital or equity in the profit-oriented sense.

$$\text{Net Assets} = \text{Assets} - \text{Liabilities}$$

For such entities this is generally represented by the General Fund, subject to the relevant accounting framework. Likewise, the result for the period is described as a *surplus* (or deficit) instead of profit (or loss), which explains the heading "Profit/Surplus" above.

## 14.3 Information about cash flow

The **Cash Flow Statement** shows the movement of cash during a specific period. It reports **cash inflows** and **cash outflows** and helps explain changes in cash and cash equivalents.

**Why it matters.** Many decisions depend on the availability of cash, for example paying liabilities, paying dividends, purchasing assets, expanding operations and meeting short-term obligations. A business can report accounting profit while still experiencing cash-flow problems.

Profitability and cash availability are different concepts

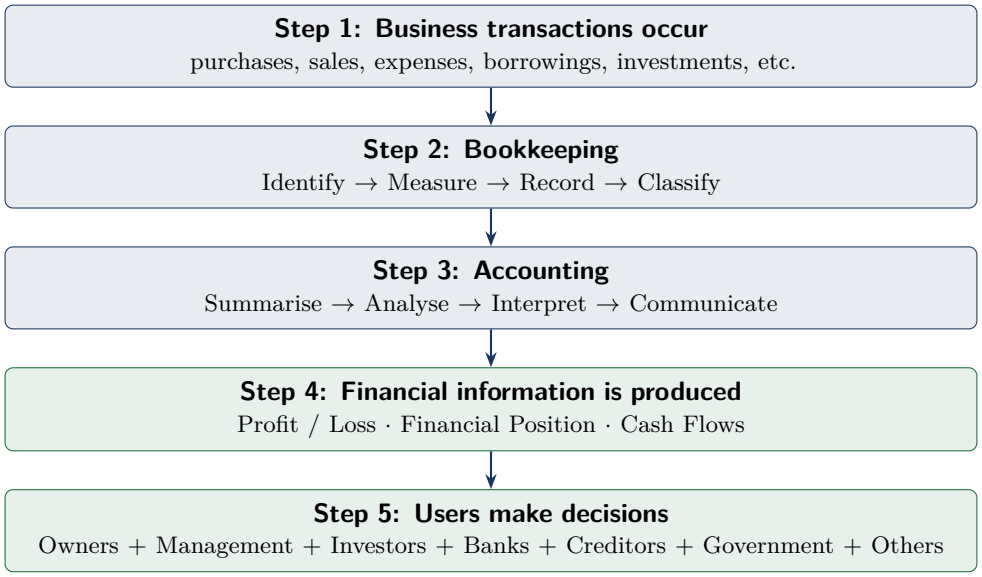
### 14.4 The three financial questions

| Question | Information | Statement | Time view |
|---|---|---|---|
| **How did the business perform?** | Profit / Loss | Income Statement / P&L | Over a period |
| **What is the business's position?** | Assets, liabilities, equity | Balance Sheet | At a date |
| **Where did cash come from and where did it go?** | Cash inflows / outflows | Cash Flow Statement | Over a period |

Together these statements give a far more complete understanding of a business than any one alone.

## 15 The Complete Conceptual Framework

All the material can now be connected into one architecture.




### 15.1 Important conceptual connections

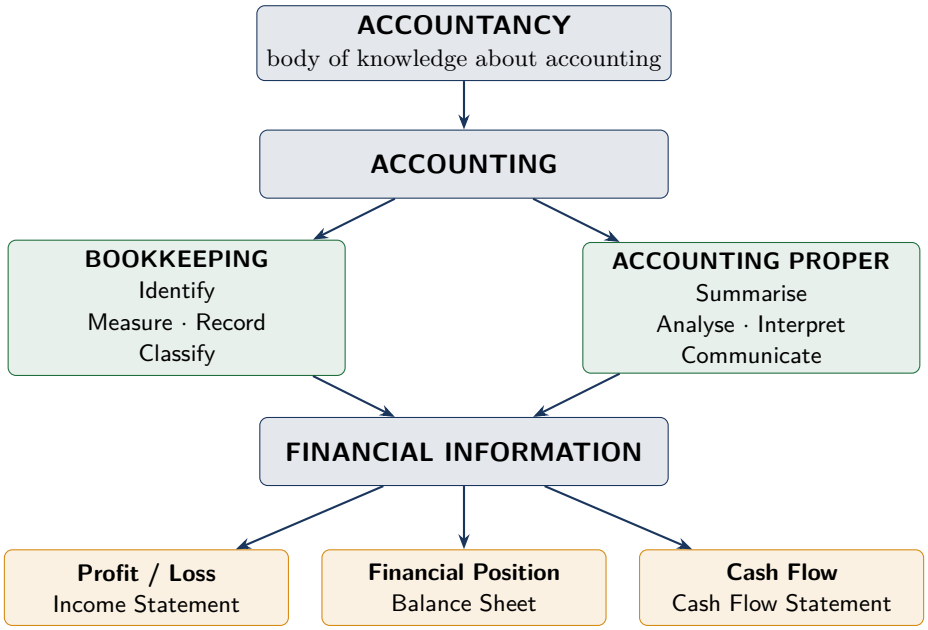
| Pair / group | Relationship |
|---|---|
| **Bookkeeping vs. accounting** | Bookkeeping = recording and classification. Accounting = summarising, analysis, interpretation and communication. |
| **Accountancy vs. accounting** | Accountancy = the broader body of knowledge. Accounting = the application or process of that knowledge. |
| **Financial accounting** | → Financial reporting |
| **Cost accounting** | → Cost determination and cost control |
| **Management accounting** | → Management planning, control and decisions |

## 16 Glossary of Key Terms

| Term | Meaning |
|---|---|
| **Accounting** | Process of identifying, recording, classifying, summarising, analysing, interpreting and communicating financial information |
| **Accountancy** | The systematic body of knowledge (principles, concepts, rules, conventions, techniques) behind accounting |
| **Bookkeeping** | Recording and classifying business transactions that have monetary aspects |
| **Business transaction** | A financially measurable economic event affecting the business |
| **Source document** | Evidence of a transaction: invoice, receipt, cash memo, bill, contract, bank document, purchase order |
| **Journal** | Book in which transactions are initially recorded, generally chronologically |
| **Subsidiary books** | Separate books of original entry for frequent transaction types |
| **Ledger** | Collection of individual accounts used to classify transactions account-wise |
| **Posting** | Transferring journal entries to the ledger accounts |
| **Trial balance** | Statement of ledger balances used mainly to check arithmetical equality of debits and credits |
| **Double entry** | Recording each transaction as equal debits and credits |
| **Financial statements** | Formal statements presenting performance, position and cash flows |
| **Income statement / P&L** | Statement of profit or loss over a period |
| **Balance sheet** | Statement of assets, liabilities and equity at a date |
| **Cash flow statement** | Statement of cash inflows and outflows over a period |
| **Revenue** | Income earned from the business's activities |
| **Expense** | Cost incurred in earning revenue |
| **Profit** | Excess of revenue over expenses for a period |
| **Loss** | Excess of expenses over revenue for a period |
| **Assets** | Economic resources controlled by the business |
| **Liabilities** | Obligations of the business |
| **Equity / Capital** | Owners' residual interest in the business |
| **Receivables (debtors)** | Amounts owed to the business |
| **Payables (creditors)** | Amounts the business owes |
| **Inventory (stock)** | Goods held for sale (or for use in producing goods for sale) |
| **General Fund** | Net assets of a not-for-profit organisation |
| **Accounting period** | The span (month, quarter, year) for which results are determined |
| **Accounting cycle** | The repeated process by which transactions are recorded, processed and reflected in financial statements |
| **Window dressing** | Presenting accounts to look better than the actual condition |
| **Historical cost** | The original amount paid to acquire an asset |

# 17 Revision

## 17.1 Quick revision sheet




## 17.2 Exam-oriented summary

**Definition: Accounting (exam wording)**

Accounting is the process of **identifying, recording, classifying, summarising, analysing, interpreting and communicating** financial information to users for **judgement and decision-making**.

| Topic | What to remember |
|---|---|
| **Seven functions** | I–R–C–S–A–I–C: Identify, Record, Classify, Summarise, Analyse, Interpret, Communicate |
| **Accounting cycle** | Transaction → Journal → Ledger → Trial Balance → Financial Statements (repeats each period) |
| **Accounting equation** | Assets = Liabilities + Equity |
| **Profit and loss** | Profit = Revenue − Expenses; Loss = Expenses − Revenue |
| **Double entry** | Total debits = Total credits |
| **Father of Accounting** | Luca Pacioli, 1494, *Summa de Arithmetica*, double-entry bookkeeping |
| **Four objectives** | Systematic records; profit or loss; financial position; information to interested parties |
| **Three branches** | Financial, cost, management accounting |
| **Science and art** | Science = principles and knowledge; Art = practical application |
| **Four limitations** | Qualitative factors, window dressing, historical cost, estimates and judgement |
| **Three information types** | Profit/loss (P&L), position (Balance Sheet), cash flow (Cash Flow Statement) |

## 17.3 Common mix-ups

**Traps to avoid**

- **Accounting is not just bookkeeping.** Bookkeeping is one part of accounting (recording and classifying).
- **Profit is not cash.** A credit sale raises profit without raising cash.
- **A balanced trial balance is not proof of error-free books.**
- **Income statement is for a period; balance sheet is for a point in time.**
- **Window dressing is a misuse of accounting**, not a purpose of it.
- **Estimates are not arbitrary.** They follow principles, standards, evidence and professional judgement.
- **Pacioli documented and popularised** double entry; he did not invent bookkeeping from nothing.
- **Functions $\neq$ cycle.** Functions describe what accounting does; the cycle is the sequence of procedures.

## 17.4 Central takeaway

**Key Idea**

A business generates financial transactions. Bookkeeping systematically records and classifies those transactions. Accounting then summarises, analyses, interprets and communicates the resulting information. This produces information about **profitability, financial position and cash flows**, which users rely on for economic decision-making.

This foundation makes the upcoming topics much easier to connect: **accounting concepts and principles, the accounting equation, debit–credit rules, journal entries, ledger, trial balance and financial statements**. The course moves from *what accounting is* to *how individual transactions actually affect accounts and financial statements.*

## 17.5 Self-test questions

1. Define a business transaction and give one event that is *not* an accounting transaction.
2. Write the definition of accounting and list the seven functions in order.
3. Which function answers "Which transactions belong together?" and through what is it carried out?
4. State three differences between bookkeeping and accounting.
5. List the five stages of the accounting cycle. Why is it called a cycle?
6. Why does an agreeing trial balance not prove that the books are free from error?
7. State the accounting equation. A business has assets of ₹3,00,000 and liabilities of ₹1,20,000. What is its equity?
8. Distinguish between the income statement and the balance sheet on the basis of time perspective.
9. A business makes a profit of ₹40,000 but its operating cash flow is negative. How is that possible?
10. Name the three branches of accounting and state the main focus of each.

11. Explain why accounting is both a science and an art.
12. List and briefly explain the four limitations of accounting. Why is window dressing not a purpose of accounting?
13. Who is the Father of Accounting and why?

## 17.6 Answer key

1. A measurable economic event with a financial effect on the business (e.g. paying rent). A decision to hire an employee next month is not yet a transaction.
2. See the definition in Section 2; Identify, Record, Classify, Summarise, Analyse, Interpret, Communicate.
3. Classifying, through ledger accounts.
4. E.g. objective (record vs. ascertain results and position), stage (primary vs. secondary), skills (clerical vs. analytical), and who performs it (bookkeepers vs. accountants).
5. Transaction, journal, ledger, trial balance, financial statements. The process repeats every accounting period.
6. Errors such as omitted transactions, wrong-account postings or offsetting errors leave debit and credit totals equal.
7. Assets = Liabilities + Equity. Equity = 3,00,000 − 1,20,000 = ₹ 1,80,000.
8. The income statement covers a period of time; the balance sheet is a snapshot at a point in time.
9. Credit sales: revenue is recognised, so profit arises, but cash has not yet been received (see the case study in Section 9).
10. Financial accounting (reporting), cost accounting (cost determination and control), management accounting (planning, control and decisions).
11. Science: systematic body of principles and standards. Art: practical application of those principles.
12. Qualitative factors ignored; window dressing; historical cost; estimates and judgement. Window dressing is a misuse or manipulation of information, not an aim of accounting.
13. Luca Pacioli, who documented and popularised double-entry bookkeeping in 1494.